



FREQUENTLY ASKED QUESTIONS (FAQs)

Exits and Withdrawals from National Pension System (NPS) for All Citizen Model

This Frequently Asked Questions (FAQ) document is intended to provide clear, structured, and general information on **Exits and Withdrawals from National Pension System (NPS) for All Citizen Model**, as governed by the Pension Fund Regulatory and Development Authority (Exits and Withdrawals under the National Pension System) Regulations, 2015 and amendments thereof (hereinafter referred to as the “Exit Regulations”).

This document is issued solely for informational & reference purposes, based on the provisions of the Exit Regulations. While due care has been taken to ensure the accuracy and completeness of information provided herein, the contents shall not be construed as a legal interpretation, nor shall they substitute or override the provisions of the applicable laws, regulations, circulars, guidelines, or notifications issued by the Pension Fund Regulatory and Development Authority (PFRDA) or the Government of India from time to time.

For detailed provisions and regulations, please refer to the Exit Regulations.

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Note: For the purpose of this FAQ document, unless explicitly stated otherwise, references to a “pension scheme” shall mean common schemes and schemes approved under the Multiple Scheme Framework (MSF) governed by the Exit Regulations. Exit and withdrawal provisions applicable to schemes for a specific purpose under NPS are governed by separate scheme-specific guidelines issued by PFRDA.

I. GENERAL QUESTIONS

1. What is an exit?

An Exit refers to the closure of individual pension account or opting out of a pension scheme under the National Pension System (NPS), and may occur in any of the following instances:

- I. On exercise of choice by the subscriber, in any of the following cases:
 - a) **Normal Exit:**
 - i) After attaining 60 years of age (till 85 years of age), or after completion of the subscription period of 15 years (or a higher period) in a pension scheme, whichever is earlier.
 - ii) Due to physical incapacitation or upon suffering bodily disability.
 - b) **Premature Exit:** Before attaining 60 years of age or before completion of the subscription period of 15 years (or a higher period) in a pension scheme.
- II. On **death of the subscriber** or subscriber being declared missing and presumed dead.

2. What is a common scheme under NPS?

Common Scheme means a scheme, other than a scheme under the Multiple Scheme Framework (MSF), offered by a Pension Fund under Section 20 of the PFRDA Act, 2013 and applicable to Government sector subscribers and non-Government sector subscribers, as the case may be.

3. What is Multiple Scheme Framework (MSF) under NPS?

Multiple Scheme Framework (MSF) is a framework introduced under Section 20 of the PFRDA Act, 2013, under which Pension Funds formulate and offer pension schemes that are approved by PFRDA for non-Government sector subscribers of the NPS.

4. Are the exits and withdrawals provisions different for common schemes and schemes approved under Multiple Scheme Framework (MSF)?

No. The provisions governing exits and withdrawals apply uniformly to both common schemes and schemes approved under MSF.

However, the exit and withdrawal provisions in respect of any other scheme for a ‘specific purpose’ under NPS shall be governed by the scheme-specific guidelines issued by PFRDA for such scheme. For instance, in the case of NPS Vatsalya, the exit and withdrawal provisions are governed by the NPS Vatsalya Scheme Guidelines issued by PFRDA.

5. What is Vesting Period?

Vesting Period is the minimum subscription period required to become eligible to avail benefits under Normal Exit.



Note: Subscribers joining NPS after attaining 60 years are not subject to any vesting period and are governed by the provisions specified in Section VIII of this FAQ.

6. What is the Vesting Period in a common scheme of NPS?

Under a common scheme, the vesting period is 15 years of subscription in the scheme, or attainment of 60 years of age, whichever is earlier.

7. What is the Vesting Period in a scheme approved under Multiple Scheme Framework (MSF) of NPS?

Under MSF, the vesting period is 15 years of subscription in the scheme (or a higher period as per the features of such scheme), or attainment of 60 years of age, whichever is earlier.

8. Is there a minimum subscription period (lock-in period) required to become eligible for Premature Exit under a pension scheme?

No. A subscriber may opt for Premature Exit at any time before completion of the vesting period in a pension scheme.

9. How is exit processed when a subscriber holds more than one individual pension account under NPS?

Under NPS, each pension scheme is maintained as a separate individual pension account under the subscriber's PRAN. When a subscriber holds more than one individual pension account, the exit or closure of each such account is processed independently. The provisions of the applicable Exit Regulations are applied separately to each individual pension account.

For instance: If a subscriber has subscribed to two pension schemes (one under Multiple Scheme Framework (MSF) scheme and another under common scheme), the subscriber will have two individual pension accounts, and the exit of each account will be considered independently, with the applicable regulations applying separately to each scheme.

10. What is accumulated pension wealth (APW)?

Accumulated pension wealth (APW) is the total monetary value of the investments accumulated in an individual pension account of a subscriber (contributions along with returns thereon). The benefits under NPS are linked to the accumulated pension wealth available in the individual pension account at the time of exit, which may be withdrawn as lump sum and/or utilized for purchase of annuity in accordance with the applicable Exit Regulations.

11. Till what age can a subscriber remain subscribed to a pension scheme in an individual pension account under NPS?

A subscriber can remain subscribed to a pension scheme in an individual pension account till the age of 85 years, unless he/she chooses to exit earlier in accordance with the Exit Regulations.

12. What is the procedure to exit from NPS?

A subscriber, for the purpose of withdrawing the benefits upon exit, shall submit the exit application to the associated Point of Presence.



In case of death of the subscriber or subscriber being declared missing, the nominee(s) or legal heir(s) shall submit the claim settlement application along with the required documents to the associated Point of Presence.

13. What is Systematic Withdrawal under NPS?

Systematic Withdrawal is a facility that allows a subscriber, at the time of exit, to withdraw funds at regular intervals either as a fixed amount or by redeeming a fixed number of investment units. The remaining balance continues to stay invested, earning returns. Systematic Withdrawal can be availed in two forms:

- a) Systematic Lump Sum Withdrawal (SLW) or
- b) Systematic Unit Redemption (SUR).

The detailed Standard Operating Procedure (SOP) on Systematic Withdrawal under NPS may be referred at NPS Trust's website.

14. What is Systematic Lump sum Withdrawal (SLW)?

Systematic Lump sum Withdrawal (SLW) is a facility that allows a subscriber, at the time of exit, to withdraw a pre-determined fixed amount, at regular intervals from the accumulated pension wealth. The remaining balance continues to stay invested, earning returns.

15. What is Systematic Unit Redemption (SUR)?

Systematic Unit Redemption (SUR) is a facility that allows a subscriber, at the time of exit, to withdraw funds by redeeming a pre-determined fixed number of investment units at regular intervals from the accumulated pension wealth. Since withdrawals are based on units, the actual payout may vary with the prevailing Net Asset Value (NAV), while the remaining units continue to stay invested, earning returns.

16. How can the lump-sum portion of accumulated pension wealth (APW) be withdrawn at exit?

At exit, the lumpsum portion of APW can be withdrawn entirely as lumpsum or via SLW or SUR or any other approved option.

17. Is exit mandatory at 60 years or upon completing 15-year subscription in a pension scheme?

No, it is optional. At 60 years or upon completing 15-year subscription in a pension scheme, the subscriber has the following options:

- a) Continue in the pension scheme up to 85 years of age; or
- b) Withdraw the eligible lump sum portion in one go and defer the annuity purchase up to 85 years of age; or
- c) Withdraw the eligible lump sum portion through SLW or SUR or any other approved option and defer the annuity purchase up to 85 years of age; or
- d) Purchase annuity and defer the withdrawal of eligible lump sum portion; or
- e) Exit the pension scheme with the purchase of annuity and/or withdrawal of eligible lump sum at one go or via SLW/SUR.

II. NORMAL EXIT

18. What are the benefits available at normal exit?

The benefits available upon normal exit and various options/facilities to avail such benefits are linked to Accumulated Pension Wealth (APW) available at the time of exit and are broadly tabulated as under:

Accumulated Pension Wealth (APW) at the time of Exit (₹)	Utilization of Accumulated Pension Wealth (APW)		
	Lump Sum* (Entire Lump Sum or SLW or SUR or other approved option)	Systematic Unit Redemption (SUR) for <u>minimum six years</u>	Annuity
≤ 8 lakh	100%	-	-
	Or		
	Maximum 80%	-	Minimum 20%
> 8 lakh ≤ 12 lakh	Maximum ₹6 lakh	Balance of APW remaining after availing lump sum	-
	Or		
	Maximum ₹6 lakh	-	Balance of APW remaining after availing lump sum
	Or		
	Maximum 80%	-	Minimum 20%
> 12 lakh	Maximum 80%	-	Minimum 20%

*The lump sum portion in the above options can be availed either as entire lump sum or via SLW or SUR or any other approved option.

19. Can the entire accumulated pension wealth be utilized for purchase of annuity without availing lumpsum withdrawal at normal exit?

Yes, for any amount of APW at normal exit, the entire accumulated pension wealth can be utilized for annuity purchase.

20. Illustrative scenarios - Benefits at the time of Normal Exit:

If Subscriber A, Subscriber B and Subscriber C have an Accumulated Pension Wealth (APW) of ₹6 lakh, ₹9 lakh and ₹13 lakh respectively, and have completed 15-year subscription in a pension scheme or attained 60 years of age (i.e. eligible for Normal Exit), the various options available for utilization of APW at normal exit are shown in the table below:

Subscriber	APW at Exit	Option	Utilization of Accumulated Pension Wealth (APW)		
			Lump Sum* (Entire Lump sum or SLW or SUR)	SUR for minimum six years	Annuity
A	₹6 lakh	Option 1	₹6 lakh (100%)	-	-
		Option 2	Maximum ₹4.8 lakh (80%)	-	Minimum ₹1.2 lakh (20%)
B	₹9 lakh	Option 1	Maximum ₹6 lakh	Minimum ₹3 lakh	-
		Option 2	Maximum ₹6 lakh	-	Minimum ₹3 lakh
		Option 3	Maximum ₹7.2 lakh (80%)	-	Minimum ₹1.8 lakh (20%)
C	₹13 lakh	Option 1	Maximum ₹10.4 lakh (80%)	-	Minimum ₹2.6 lakh (20%)

*The lump sum portion in the above options can be availed either as entire lump sum or via SLW or SUR or any other approved option.

III. CONTINUATION OPTION UNDER NPS

21. What happens if a subscriber does not exit after becoming eligible for normal exit?

If a subscriber does not choose to exit after becoming eligible for normal exit, the subscriber will continue to remain subscribed to the NPS up to the age of 85 years. During the continuation period, the entire accumulated pension wealth, including the portion meant for annuity purchase as well as the lump sum portion, continues to remain invested up to the age of 85 years. During this period, the subscriber may continue to make contributions and avail all services under the pension scheme.

22. Can a subscriber exit during the continuation period?

Yes. During the continuation period, a subscriber may opt for exit at any time before attaining the age of 85 years.

23. What is the procedure to continue in a pension scheme?

No separate action is required. Once a subscriber becomes eligible for normal exit, continuation in the pension scheme is automatic, and the subscriber can continue up to the age of 85 years, i.e. a subscriber automatically continues in the pension scheme if no request for exit or deferment is submitted upon becoming eligible for normal exit.

24. Are there any charges while a subscriber continues in the pension scheme?

Yes. During the period of continuation, all the expenses, maintenance charges, and fee payable in respect of the individual pension account shall be borne by the subscriber.



25. What are the options available to a subscriber during the period of continuation?

The subscriber may avail any of the following options at any time during the continuation period:

- a) Withdraw the eligible lump sum portion in one go and defer the annuity purchase up to 85 years of age; or
- b) Withdraw the eligible lump sum portion through SLW or SUR or any other approved option and defer the annuity purchase up to 85 years of age; or
- c) Purchase annuity and defer the withdrawal of eligible lump sum portion; or
- d) Exit the pension scheme with the purchase of annuity and/or withdrawal of eligible lump sum at one go or via SLW/SUR/any other approved option.

26. Is a subscriber required to exit a pension scheme upon attaining the age of 85 years?

Yes. A subscriber who has continued in a pension scheme is required to exit the pension scheme upon attaining the age of 85 years. The accumulated pension wealth shall thereafter be settled in accordance with the applicable Exit Regulations.

IV. DEFERMENT OPTION UNDER NPS

27. Can a subscriber defer availing the benefits under NPS?

Yes. Either the withdrawal of lump sum or the purchase of annuity can be deferred up to the age of 85 years.

28. What happens during deferment?

During the deferment period, the portion (lump sum or annuity) deferred, continues to remain invested. However, subscriber will not be able to contribute during the deferment period.

29. When can a subscriber eligible to defer benefits under NPS?

Benefits under NPS can be deferred once a subscriber becomes eligible for normal exit.

30. What is the procedure to defer the lump sum withdrawal or annuity purchase?

A subscriber may defer lump sum withdrawal or annuity purchase by submitting a request to National Pension System Trust or any intermediary or entity authorized by the PFRDA for this purpose.

31. Can a subscriber defer both lump sum withdrawal and purchase of annuity together?

No. At the time of exit, a subscriber may choose to defer either the lump sum withdrawal or the purchase of annuity.

Deferment of both components together would be equivalent to continuation in the pension scheme; accordingly, deferment of both lump sum withdrawal and purchase of annuity together is not provided for, and the subscriber may instead continue to remain invested in the pension scheme up to the age of 85 years.

32. Is exit allowed during the deferral period?

Yes. Exit may be exercised at any time during the deferral period.

33. What happens if a subscriber dies during the period of deferment of annuity purchase?
If a subscriber dies during the period of deferment of annuity purchase, the accumulated pension wealth meant for annuity purchase shall be paid to the nominee(s) or legal heir(s), as the case may be.
34. What happens if a subscriber dies during the period of deferment of lump sum withdrawal?
If a subscriber dies during the period of deferment of lump sum withdrawal, the accumulated pension wealth meant for lump sum withdrawal shall be paid to the nominee(s) or legal heir(s), as the case may be.
35. Are there any charges while a subscriber defers availing the benefits?
Yes. In such case, the expenses, maintenance charges, and fee payable in respect of the individual pension account, shall be borne by the subscriber.

V. PREMATURE EXIT

36. Is it possible for a subscriber to exit the pension scheme before completing 15-year subscription (or a higher period) or attaining 60 years of age?
Yes. A subscriber may opt for Premature Exit at any time before completion of the vesting period in a pension scheme.
37. What are the benefits available if a subscriber exits prematurely?
The benefits available upon premature exit and various options/facilities to avail such benefits are linked to Accumulated Pension Wealth (APW) available at the time of exit and are broadly tabulated as under:

Accumulated Pension Wealth (APW) at the time of exit (₹)	Utilization of Accumulated Pension Wealth (APW)	
	Lump Sum* (Entire Lump Sum or SLW or SUR or other approved option)	Annuity
≤ 5 lakh	100%	-
	Or	
	Maximum 20%	Minimum 80%
> 5 lakh	Maximum 20%	Minimum 80%

*The lump sum portion in the above options can be availed either as entire lump sum or via SLW or SUR or any other approved option.

38. Can the entire accumulated pension wealth be utilized for purchase of annuity without availing lumpsum at premature exit?

Yes, for any amount of APW at premature exit, the entire accumulated pension wealth can be utilized for annuity purchase.

39. Illustrative scenarios - Benefits at the time of Premature Exit:

If Subscriber A and Subscriber B have an Accumulated Pension Wealth (APW) of ₹4 lakh and ₹9 lakh respectively, and have neither completed 15-year subscription in a pension scheme nor attained 60 years of age, the various options available for utilization of APW at premature exit are shown in the table below:

Subscriber	APW at Premature Exit	Option	Utilization of Accumulated Pension Wealth (APW)	
			Lump Sum* (Entire Lump sum or SLW or SUR)	Annuity
A	₹4 lakh	Option 1	₹4 lakh (100%)	-
		Option 2	Maximum ₹0.8 lakh (20%)	Minimum ₹3.2 lakh (80%)
B	₹9 lakh	Option 1	Maximum ₹1.8 lakh (20%)	Minimum ₹7.2 lakh (80%)

*The lump sum portion in the above options can be availed either as entire lump sum or via SLW or SUR or any other approved option.

40. Is deferment of benefits available at the time of premature exit from the pension scheme?

No, deferment of benefits is not allowed at the time of premature exit.

VI. EXIT DUE TO DEATH

41. What are the benefits available to nominee(s) or legal heir(s) upon unfortunate death of a subscriber?

The nominee(s) or legal heir(s), as the case may be, may choose to withdraw the entire accumulated pension wealth as lump sum or purchase an annuity.

42. Is it mandatory for the nominee(s) or legal heir(s) to take the entire accumulated pension wealth as a one-time lump sum?

It is not mandatory to take the entire amount as a one-time lump sum. The nominee(s) or legal heir(s) may choose to receive the benefits through periodic payouts such as SLW or SUR or purchase of annuity, or any other approved payout option.

43. If a subscriber holds more than one individual pension account, what happens in the event of his/her death?



In the event of the subscriber's death, all the individual pension accounts held by the subscriber shall be closed. The exit / closure of each account shall be treated separately, in accordance with the applicable Exit Regulations for each account.

For instance, if a subscriber holds two individual pension accounts (one under common scheme and another under MSF), both accounts shall be closed independently, and the benefits in respect of each account shall be settled separately in accordance with the applicable Exit Regulations.

VII. EXIT DUE TO PHYSICAL INCAPACITATION OR SUFFERING BODILY DISABILITY

44. What is the provision under NPS in case a subscriber suffers physical incapacitation or bodily disability?

In the event a subscriber suffers physical incapacitation or bodily disability resulting in incapability to continue under NPS, the subscriber shall be eligible to opt for a normal exit. Such exit shall be processed in accordance with the applicable provisions of the Exit Regulations governing normal exit, subject to submission of documentary evidence(s).

45. What documents are required for exit on account of disability?

A disability certificate from a Government surgeon or Doctor (treating such disability or invalidation of subscriber) stating the nature and extent of disability and also certifying that:

- a) the affected subscriber is not in a position to perform his regular duties and there is a real possibility of the affected subscriber, being not able to work for the remaining period of his life; and
- b) percentage of disability is more than seventy-five percent in the opinion of such Government surgeon or doctor.

46. What benefits are available to a subscriber exiting on account of disability?

A subscriber exiting due to disability shall receive the same benefits as those available at normal exit, subject to submission of documentary evidence(s).

47. What happens if the prescribed disability certificate is not submitted for exit on account of disability?

In the absence of submission of the prescribed disability certificate, the exit request shall not be treated as an exit on account of disability and shall instead be processed as a Premature Exit, with benefits payable in accordance with the provisions applicable to premature exit.

VIII. EXIT PROVISIONS FOR INDIVIDUALS JOINING NPS AFTER 60 YEARS OF AGE

48. Is there any minimum vesting period (for availing benefits under normal exit) applicable for individuals joining NPS after attaining 60 years of age?

No. There is no vesting period applicable for individuals who join NPS after attaining the age of 60 years. A subscriber who joins NPS after age 60 may opt for Normal Exit at any time.

49. Is Premature Exit applicable for individuals joining NPS after age 60?

No. Premature Exit is not applicable for individuals who join NPS after attaining the age of 60 years, as the subscriber may opt for Normal Exit at any time after joining.

50. What are the benefits available upon normal exit for individuals joining NPS after age 60?

The benefits available upon normal exit for individuals joining NPS after age 60 and various options/facilities to avail such benefits are linked to Accumulated Pension Wealth (APW) available at the time of exit and are broadly tabulated as under:

Accumulated Pension Wealth (APW) at Exit (₹)	Utilization of Accumulated Pension Wealth (APW)	
	Lump Sum* (Entire Lump Sum or SLW or SUR or other approved option)	Annuity
≤ 12 lakh	100%	-
	Or	
	Maximum 80%	Minimum 20%
> 12 lakh	Maximum 80%	Minimum 20%

*The lump sum portion in the above options can be availed either as entire lump sum or via SLW or SUR or any other approved option.

51. Can the entire accumulated pension wealth be utilized for purchase of annuity without availing lumpsum at normal exit for individuals joining NPS after age 60?

Yes, for any amount of APW at normal exit, the entire accumulated pension wealth can be utilized for annuity purchase.

52. Illustrative scenario - Benefits available at Normal Exit for individuals joining NPS after age 60

If Subscriber A and Subscriber B have an Accumulated Pension Wealth (APW) of ₹10 lakh and ₹20 lakh respectively, the various options available for utilization of APW at normal exit are shown in the table below:

Subscriber	APW at Exit	Option	Utilization of Accumulated Pension Wealth (APW)	
			Lump Sum* (Entire Lump sum or SLW or SUR)	Annuity
A	₹10 lakh	Option 1	₹10 lakh (100%)	-
		Option 2	Up to ₹8 lakh (80%)	Minimum ₹2 lakh (20%)
B	₹20 lakh	Option 1	Up to ₹16 lakh (80%)	Minimum ₹4 lakh (20%)

*The lump sum portion in the above options can be availed either as entire lump sum or via SLW or SUR or any other approved option.

53. What are the benefits available to nominee(s) or legal heir(s) upon unfortunate death of a subscriber joining NPS after age 60?

Same as in Section VI of this FAQ.

IX. PARTIAL WITHDRAWAL UNDER NPS

54. Is withdrawal permitted from Tier-I account of NPS during the accumulated phase?

Yes. Withdrawal is permitted from Tier-I account of NPS and is termed as Partial Withdrawal.

55. When does a subscriber become eligible to apply for first partial withdrawal?

A subscriber becomes eligible to apply for partial withdrawal after completion of three years from the date of subscription to the pension scheme.

56. How many partial withdrawals are permitted?

- a) Before attaining 60 years: Up to four times with a minimum interval of four years between two partial withdrawals.
- b) After attaining 60 years: Can be availed any number of times till 85 years of age with a minimum interval of three years between two partial withdrawals.

57. What is the maximum amount that can be withdrawn through partial withdrawal?

- a) For the first partial withdrawal, a subscriber may withdraw up to 25% of own contributions, excluding any appreciation or returns thereon.
- b) For subsequent partial withdrawals, a subscriber may withdraw up to 25% of the incremental own contributions made after the previous partial withdrawal, excluding any appreciation or returns thereon.

58. What are the purposes under which partial withdrawal can be exercised?

A subscriber may avail partial withdrawal for the following specific purposes only:

- a) for Higher education of his or her children including a legally adopted child;
- b) for the marriage of his or her children, including a legally adopted child;
- c) one-time withdrawal for the purchase or construction of a residential house or flat in his or her own name or in a joint name with his or her legally wedded spouse. In case, the subscriber already owns either individually or in the joint name a residential house or flat, other than ancestral property, no withdrawal shall be permitted;
- d) for medical treatment or hospitalization of self or legally wedded spouse, children, including legally adopted children or parents;
- e) to meet medical and incidental expenses arising out of the disability or incapacitation suffered by the subscriber;
- f) towards settlement of a financial obligation availed by a subscriber from a regulated financial institution against the lien or the charge marked on the individual pension account.

59. How is the maximum 25% partial withdrawal calculated if a subscriber withdraws less than 25% in an earlier instance?

If a subscriber withdraws less than 25% of own contributions in an earlier partial withdrawal, the unutilized portion remains available and, in the subsequent withdrawal, the subscriber may withdraw 25% of the incremental own contributions made since the last withdrawal together with the unutilized portion of the earlier eligible limit.



60. Is any minimum interval required after attaining 60 years if a subscriber has availed partial withdrawal before turning 60?
No. If a subscriber has already completed the minimum subscription period of three years, no additional waiting period is required after attaining 60 years to avail a partial withdrawal under the provisions applicable after 60 years of age.
61. If a subscriber joins the pension scheme after attaining 60 years of age, is there a minimum subscription period before availing first partial withdrawal?
Yes. Any subscriber who joins a pension scheme, irrespective of the age, must complete a minimum subscription period of three years before becoming eligible for first partial withdrawal.
62. If a subscriber joined the pension scheme before attaining 60 years of age, do they need to wait for three years after attaining 60 to avail partial withdrawal applicable after 60 years of age?
No. A subscriber who joined the pension scheme before attaining 60 years of age is eligible to avail partial withdrawal immediately upon attaining 60 years, provided the minimum subscription period of three years under NPS has already been completed. No additional waiting period is required after attaining 60 years of age.
63. If a subscriber has already availed a partial withdrawal before attaining 60 years of age, are only incremental own contributions considered for subsequent partial withdrawal exercised after attaining 60 years?
Yes. If a subscriber has already availed partial withdrawal(s) prior to attaining 60 years of age and continues in the same pension scheme, any subsequent partial withdrawal exercised after attaining 60 years shall be calculated only on the incremental own contributions made after the previous partial withdrawal.
64. If a subscriber holds more than one individual pension account under NPS, are the partial withdrawal provisions applied commonly or separately to each account?
If a subscriber holds more than one individual pension account under NPS (i.e. subscribed to more than one pension scheme), the provisions relating to partial withdrawals are applied separately to each individual pension account, based on the conditions applicable to that account, in accordance with the applicable Exit regulations.
65. Can partial withdrawal from a pension scheme be availed more than once for the same purpose?
Partial withdrawal from a pension scheme may be availed more than once for the same permitted purpose. However, partial withdrawal for the purpose of purchase or construction of a residential house or flat is permitted only once during the entire subscription period, i.e., from the date of subscription till exit from the pension scheme.
66. What are the differences in partial withdrawal provisions under NPS before and after 60 years of age?

Particulars	Before 60 Years of Age	After 60 Years of Age
Eligibility	Available after 3 years from date of subscription	<u>Joined pension scheme before 60 age:</u>

		Available immediately after attaining 60 years of age, subject to completion of 3-year subscription in the pension scheme. <u>Joined pension scheme after 60 age:</u> Available after 3 years from date of subscription
Frequency	Up to 4 times	No fixed frequency; allowed till 85 age
Minimum Interval	4 years between two withdrawals	3 years between two withdrawals

67. What is the procedure, if a subscriber is unable to submit partial withdrawal application due to hospitalization?

The request for withdrawal may be submitted through any family member of such subscriber.

68. Illustrative scenarios for Partial Withdrawal:

Sl. No.	Subscriber Profile	Financial Position	Eligibility	Permissible Partial Withdrawal
(a)	Subscription period: 5 years; No prior partial withdrawal.	Accumulated pension wealth: ₹10 lakh; Subscriber's own contribution: ₹5 lakh	Eligible (minimum 3 years of subscription completed)	Up to 25% of subscriber's own contribution = Up to 25% of ₹5 lakh = ₹1.25 lakh.
(b)	One partial withdrawal availed 6 years ago.	Incremental subscriber contribution since last withdrawal: ₹1 lakh	Eligible; only incremental own contribution since previous withdrawal is considered	Up to 25% of incremental own contribution = Up to 25% of ₹1 lakh = ₹25,000.
(c)	Age: 57 years; Subscription period: 10 years; Last partial withdrawal availed 2 years ago	Accumulated pension wealth: ₹12 lakh; Subscriber's own contribution: ₹4.5 lakh	Not eligible, as minimum 4-year interval between withdrawals prior to attaining 60 years is not satisfied	Nil
(d)	Age: 62 years; Joined NPS prior to attaining 60 years; Subscription period: 15+ years; Pre-60 withdrawals already availed	Accumulated pension wealth: ₹25 lakh; Incremental subscriber contribution since last withdrawal: ₹6 lakh	Eligible for post-60 partial withdrawal	Up to 25% of incremental own contribution = Up to 25% of ₹6 lakh = ₹1.5 lakh.

(e)	Age: 63 years; Joined NPS at age 62	Accumulated pension wealth: ₹3 lakh; Subscriber's own contribution: ₹2 lakh	Not eligible, as minimum 3 years of subscription after joining is not completed	Nil
(f)	Age: 61 years; Joined NPS at age 55; Not availed any withdrawal prior.	Accumulated pension wealth: ₹8 lakh; Subscriber's own contribution: ₹3 lakh	Eligible	Up to 25% of subscriber's own contribution = Up to 25% of ₹3 lakh = ₹75,000.
(g)	Age: 65 years; Last partial withdrawal availed 4 years ago	Incremental subscriber contribution since last withdrawal: ₹2 lakh	Eligible; minimum 3-year interval between withdrawals satisfied.	Up to 25% of incremental own contribution = Up to 25% of ₹2 lakh = ₹50,000.
(h)	Age: 63 years; Joined NPS at age 54; First partial withdrawal availed at age 59	Accumulated pension wealth: ₹12 lakh; Subscriber's own contribution: ₹6 lakh; First withdrawal: ₹1.2 lakh (20% of own contribution); Unutilised portion: ₹0.3 lakh; Incremental contributions since last withdrawal: ₹2 lakh;	Eligible for second partial withdrawal; unutilised portion carried forward and incremental contributions added	Maximum permissible withdrawal = (25% of ₹2 lakh) + ₹0.3 lakh = ₹80,000

X. EXIT AND WITHDRAWAL FROM TIER-II

69. What will happen to Tier-II account in case of exit from Tier-I?

Upon exit from Tier-I of the NPS, the Tier-II account of the subscriber will also be simultaneously and automatically closed, even if an application so specified for the purpose has not been received from the subscriber or nominees or legal heirs, and amounts under the said account will be paid to the subscriber or nominees or legal heirs.

70. Can a subscriber continue Tier-II account after exercising the option of continuation of Tier-I account?

Yes, a subscriber can continue with Tier-II account, till the closure of Tier-I account.

71. How many times can a subscriber withdraw from Tier-II account?

A subscriber can withdraw any number of times from Tier-II account.

72. How much amount can a subscriber withdraw from Tier-II account?

A subscriber can withdraw the accumulated wealth either in full or part, at any time. There is no limit on such withdrawals till the account has sufficient amount of accumulated wealth to take care of the applicable charges and the withdrawal amount.

XI. FINANCIAL ASSISTANCE AGAINST INDIVIDUAL PENSION ACCOUNT

73. Can a subscriber seek financial assistance against the individual pension account, and how can such assistance be secured by the lender?

Yes. A subscriber may seek financial assistance from a regulated financial institution against the individual pension account.

For this purpose, the subscriber may create an assignment, pledge, lien, charge, or any other form of security on the benefits receivable under the National Pension System in favour of the lender.

Accordingly, the lender may mark a lien or charge on the subscriber's individual pension account, up to the partial withdrawal limit as stipulated in the Exit Regulations. Such facility shall be allowed by the NPS Trust in accordance with the guidelines or circulars issued by the PFRDA.

XII. NOMINATION

74. Is nomination mandatory under NPS?

Yes.

75. Who can be nominated?

If a subscriber has a family at the time of making a nomination, the nomination shall be in favour of one or more persons belonging to his/her family.

76. What is the definition of family for the purpose of nomination under NPS?

For the purposes of nomination,

- a) in relation to a male subscriber, shall mean his legally wedded wife, his children, whether married or unmarried, his parents and his deceased son's widow and children;
- b) in relation to a female subscriber, shall mean her legally wedded husband, her children, whether married or unmarried, her parents, her husband's parents and her deceased son's widow and children;
- c) in relation to any subscriber who does not identify themselves as male or female - their legally wedded spouse, their children, whether married or unmarried, their parents and their deceased son's widow and children;

Explanation: In any of above three, if the child of a subscriber or as the case may be, the child of a deceased son of the subscriber has been adopted by another person and if, under the personal law of the adopter, adoption is legally recognized, such a child shall be considered as excluded from the family of the subscriber.



77. What happens if a subscriber nominated a person not belonging to my family, despite having family?
Any such nomination made in favour of a person not belonging to subscriber's family shall be invalid and the subscriber has to submit fresh nomination belonging to his/her family.
78. What happens if the nominee predeceases the subscriber?
Such nomination shall become void and the subscriber has to submit nomination again.
79. Can a subscriber nominate more than one person and what shall be percentage of accumulated pension wealth among nominees?
Yes, a subscriber can nominate up to three nominees and can assign percentage of accumulated pension wealth among them in a way that total of such assignments should be equal to 100%.
80. Is it mandatory to file fresh nomination after the marriage?
Yes, a fresh nomination is required to be made by the subscriber upon his/her marriage.
81. What will happen to a subscriber's nomination if he/she has not filed a fresh nomination after marriage?
Nomination made before marriage becomes invalid and subscriber has to submit nomination again.
82. Who can be nominated if a subscriber does not have a family?
If a subscriber does not have family at the time of making a nomination, the nomination may be in favour of any person or persons but if the subscriber subsequently acquires a family, such nomination shall forthwith be deemed to be invalid and the subscriber shall make a fresh nomination in favour of one or more persons belonging to his/her family.
83. Can a subscriber nominate a minor?
Yes, the nomination can be wholly or partly in favour of a minor. Further, the subscriber may appoint a major person of his family, to be the guardian of the minor nominee in the event of the subscriber predeceasing the nominee and the guardian.
84. Can a subscriber appoint any other person to be guardian to minor nominee?
Yes, if there is no major person in the family.
85. How many times can a subscriber modify the nomination?
A subscriber can change the nomination any number of times.

XIII. ANNUITY / PENSION (MONTHLY OR PERIODIC PAY OUT)

86. What is annuity?
Annuity means series of payments/benefits to the subscriber at specified intervals as per the choice of subscriber paid by annuity service provider (ASP). The objective of an annuity is to give regular income to the subscriber even after retirement/working age.

87. Is it mandatory to purchase annuity under NPS at the time of exit?
Yes, except there are some scenarios where the subscriber/nominees/legal heirs can withdraw the entire accumulated pension wealth as stipulated under Exit Regulations.
88. Which companies are empaneled by the PFRDA as ASPs to provide annuities under NPS?
Annuity shall be purchased from Annuity Service Providers (ASPs) empaneled with the PFRDA. The list of ASPs empaneled can be referred at [PFRDA's website](#).
89. In case of exit before attaining the age of sixty years from NPS, when will annuity start i.e. immediately or after the age of 60 years?
Annuity starts immediately after the minimum age as required for purchasing any annuity (depending upon choice of ASP and Annuity scheme for e.g. 30, 35, 38) from any of the empaneled annuity service providers. Subscriber/nominees/legal heirs need not wait till the age of 60 years.
90. What are the annuity options available under NPS?
The following are the most common variants that are offered by ASPs:
- a) Annuity for Life with Return of Purchase Price
 - b) Joint Life Annuity with Return of Purchase Price
 - c) NPS - Family Income with Return of Purchase Price
 - d) Annuity for Life without Return of Purchase Price
 - e) Joint Life Annuity without Return of Purchase Price
- Note:** Not all ASPs offer every annuity variant; the available options & pricing may differ from one ASP to another. For details of annuity variants, website of respective empaneled ASP may be visited.
91. Whether amount invested in annuity will be returned?
Only in annuity types where there is a provision of return of purchase price.
92. Where can a subscriber check the rates offered by the annuity service providers on various type of annuities?
Details of annuity rates and other details may be checked on CRAs' website [Computer Age Management Services Limited, KFin Technologies Limited and Protean eGov Technologies Limited] and website of respective empaneled ASPs.
93. Can a subscriber change the Annuity Service Provider (ASP) or annuity type any time?
Once an annuity is purchased, the option of cancellation / reinvestment with another ASP or in other annuity scheme shall not be allowed unless the same is within the time limit specified by ASP, for the free look period as provided in the terms of the annuity contract or specifically provided by IRDAI.

XIV. MISCELLANEOUS QUESTIONS

94. What are tax benefits available to NPS subscribers upon exit?
As per the extant Income Tax Act, 1961.

95. What happens to an Individual Pension Account (IPA) if the subscriber ceases to be an Indian citizen?
If a subscriber renounces Indian citizenship and does not hold an Overseas Citizen of India (OCI) card, he/she shall have the option to close the individual pension account and withdraw the entire accumulated pension wealth in lump sum, as per applicable guidelines issued by PFRDA.
96. What are the provisions in case a subscriber goes missing?
20% of the accumulated pension wealth shall be released, in lump sum, as interim relief to the nominee(s) / legal heir(s) of a subscriber reported missing, subject to submission of prescribed documents. Remaining 80% shall remain invested in the individual pension account and shall be released to the nominee(s) / legal heir(s) only upon submission of a court order declaring subscriber as presumed dead in accordance with provisions of the Bharatiya Sakshya Adhiniyam, 2023.
If the subscriber is subsequently found to be alive before such court declaration, the individual pension account shall continue, and the interim amount already paid shall be adjusted against the final withdrawal payable to the subscriber at the time of exit.
The identification of the subscriber as missing or subsequently reported to be alive shall be based on certification issued by NPS Trust.
97. What is the exit and withdrawal provision under NPS for subscribers of a 'specific purpose scheme'?
The exit and withdrawal provisions applicable to subscribers of a 'specific purpose scheme' under NPS shall be governed by the scheme-specific guidelines issued by PFRDA for that scheme.
98. What exit provisions apply to subscribers who shift from Government / Corporate Sector NPS to the All Citizen Model (ACM)?

Sl.	Initial Sector	Employment Status	Benefits upon Exit
1	Government	Resigned before superannuation and then shifted to ACM	As applicable for All Citizen Model
2	Corporate	Resigned before superannuation and then shifted to ACM	As applicable for All Citizen Model
3	Government	Superannuated/Retired from Govt. Sector and then shifted to ACM	As applicable for Government Sector
4	Corporate	Superannuated/Retired from Corporate Sector and then shifted to ACM	As applicable for All Citizen Model
5	Corporate (Statutory body or body corporate / entity under ownership & control of Govt. or a Govt. company)	Superannuated/Retired from Corporate Sector and then shifted to ACM	As applicable for Government Sector